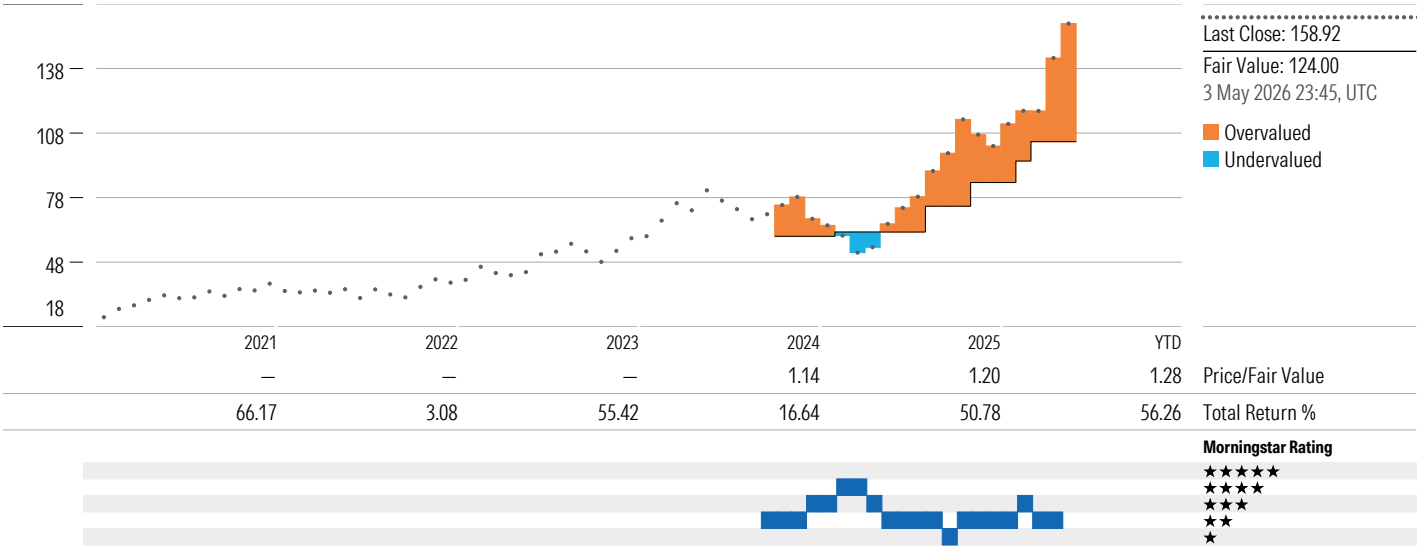
nVent Electric PLC NVT ★★ 3 May 2026 23:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
158.92 USD 1 May 2026	124.00 USD 3 May 2026 23:45, UTC	1.28	25.70 USD Bil 1 May 2026	Narrow	Large Growth	High	Standard	1 May 2026 05:00, UTC

Price vs. Fair Value



Total Return % as of 01 May 2026. Last Close as of 01 May 2026. Fair Value as of 3 May 2026 23:45, UTC.

Contents

Analyst Note (3 May 2026)
Business Description
Business Strategy & Outlook (3 May 2026)
Bulls Say / Bears Say (3 May 2026)
Economic Moat (3 Nov 2025)
Fair Value and Profit Drivers (3 May 2026)
Risk and Uncertainty (3 May 2026)
Capital Allocation (3 May 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

nVent Earnings: Broad-based Data Center Growth Propels Sales and Backlog; Fair Value up 19%

Analyst Note Joshua Aguilar, Director, 3 May 2026

NVent reported strong first-quarter earnings, with reported sales rising 53% to $1.2 billion (34% organically), while adjusted return on sales (adjusted EBIT) held flat at 20.0%.

Why it matters: Data centers continue to drive supercycle growth across much of the industrial supply chain, and nVent is no exception. The last earnings report strengthens the bull case that the artificial intelligence data center buildout is a multiyear secular story that the market doesn't appreciate.

- NVent is a leader in the liquid cooling market, as AI-related workloads generate significant heat. It has secured contracts with big-name players like nVidia and boasts a record backlog of $2.6 billion, which provides it with strong visibility into next year.
- NVent's investor day presentation revealed that it had roughly $1 billion in sales tied to data centers, which had grown at a 40% CAGR. Taking a look at its long-term targets to 2028, we think the market has started to move past them to the upside, given the data center-related runway.

The bottom line: We raise our fair value estimate for narrow-moat rated nVent to $124 from $104 previously, but we remain low relative to analyst price targets. Like much of the industrial supply chain tied to data centers, we think 2-star-rated nVent is priced high relative to fundamentals.

- NVent repurchased $50 million of shares in the first quarter, but we don't like this use of capital, as we don't think the stock is cheap. Even so, we think it is wisely spending most capital on organic and

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Sector
Industrials

Industry
Electrical Equipment & Parts

Business Description

NVent is a leading global provider of electrical connection and protection solutions that touch a broad range of end markets, including infrastructure, industrial, commercial, and residential. NVent designs, manufactures, markets, installs, and services a portfolio of electrical enclosures and electrical fastening solutions. North America accounts for the majority of sales.

inorganic growth, including multiple new products gaining interest from large customers like hyperscalers.

- The EPG acquisition exceeded what we'd earmarked in sales and what management baked into guidance. We're now modeling 28% sales growth in 2026. Long-term, we've now modeled a near-14 % organic revenue CAGR with a mid-20s incremental margin entitlement.

Business Strategy & Outlook Joshua Aguilar, Director, 3 May 2026

NVent is a leading global provider of electrical connection and protection solutions, such as electrical enclosures and fastening solutions.

A key part of its strategy since spinning off from Pentair in 2018 has been to reposition the business toward higher-growth end markets. This includes electric utilities, data centers, and renewable energy, collectively referred to as infrastructure. The infrastructure vertical was about 10% of revenue at the time of the spinoff, but grew to 45% of mix in 2025.

Much of this repositioning has been accomplished via acquisitions, as the company has funneled cash flow from its high-margin but lower-growth legacy enclosure and fastener businesses into acquisitions. NVent's acquisition-focused mindset has risks, though. While we think shareholders should benefit from its repositioning toward higher-growth end markets, a key long-term question is whether nVent can enter these markets while maintaining its strong profit margins.

NVent's highest growth area is likely to be its data solutions offerings, which contribute approximately 25% of revenue. NVent's foray into liquid cooling for data centers presents a unique opportunity. Only 5% of data centers are currently liquid-cooled, but this is rapidly growing, given the increased thermal management needs of today's advanced data centers. We view liquid cooling as a significant opportunity for the company, but this is balanced by technological and competition uncertainties.

NVent sells its products through distributors and directly to end customers. The company's distribution sales, which constitute roughly 50% of its sales, typically offer a superior margin profile compared with direct sales. Leveraging nVent's existing strong partnerships with leading electrical distributors is often a key part of its organic and inorganic growth strategy as the company looks to expand its presence in new geographies or adjacent product lines.

Bulls Say Joshua Aguilar, Director, 3 May 2026

- Increasing electrification and digitalization of the economy bode well for nVent. More than 70% of the company's portfolio is exposed to secular growth trends.
- NVent has exposure to the fast-growing data center market with its liquid cooling solutions.
- NVent boasts a robust financial profile with approximately 20% operating margins and low capital intensity.

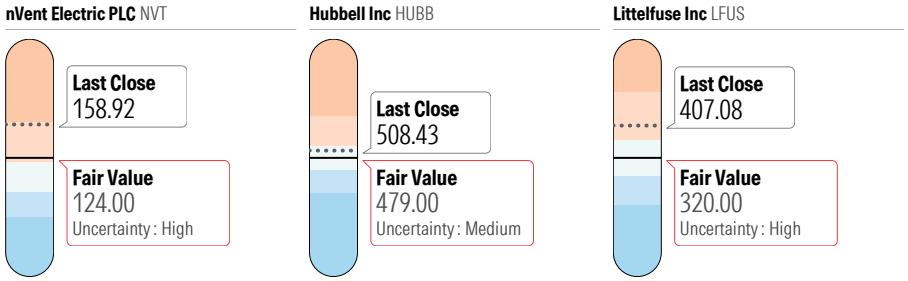
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Competitors



	nVent Electric PLC NVT	Hubbell Inc HUBB	Littelfuse Inc LFUS
Economic Moat	Narrow	Wide	Narrow
Currency	USD	USD	USD
Fair Value	124.00 3 May 2026 23:45, UTC	479.00 1 May 2026 16:24, UTC	320.00 1 May 2026 16:24, UTC
1-Star Price	192.20	646.65	496.00
5-Star Price	74.40	335.30	192.00
Assessment	Overvalued 1 May 2026	Fairly Valued 1 May 2026	Overvalued 1 May 2026
Morningstar Rating	★★3 May 2026 23:47, UTC	★★★1 May 2026 05:00, UTC	★★1 May 2026 05:00, UTC
Analyst	Joshua Aguilar, Director	Nicholas Lieb, Equity Analyst	William Kerwin, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard
Price/Fair Value	1.28	1.06	1.27
Price/Sales	6.02	4.53	4.23
Price/Book	6.77	7.15	4.18
Price/Earning	53.87	30.03	—
Dividend Yield	0.52%	1.08%	0.72%
Market Cap	25.70 Bil	26.96 Bil	10.24 Bil
52-Week Range	57.86—167.37	346.07—565.50	188.08—415.00
Investment Style	Large Growth	Mid Blend	Small Blend

Bears Say Joshua Aguilar, Director, 3 May 2026

- Despite long histories, many of nVent's products are simple, such as its core enclosure and fastener solutions.
- The data center liquid cooling market is likely to experience new competitive threats and faces greater technological uncertainty than nVent's core portfolio.
- NVent's acquisitive nature creates the risk of poor deals.

Economic Moat Joshua Aguilar, Director, 3 Nov 2025

We believe nVent has a narrow moat based primarily on switching costs and intangible assets. The majority of nVent's product portfolio, such as enclosures or fasteners, could be considered rather generic. However, we think the company has carved out a leading market share in electrical connections and protection.

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NVent's product portfolio deals with mission-critical electrical systems, which creates a high cost of failure for end customers, but these products typically account for a small fraction of the overall product cost. We believe this makes customers hesitant to switch to a competitor.

NVent's systems protection segment has a narrow moat. The enclosures market is global and encompasses a wide array of use cases. We estimate nVent is the second-largest enclosures provider globally but first in the US. This fails to capture nVent's large share within its core market: large electrical distributors.

The majority of the segment's revenue is through electrical distribution. We estimate nVent has more than a 50% share in enclosures among the largest five to 10 electrical distributors. We attribute this partially to the breadth of the company's product portfolio, which often offers the widest selection of enclosures through leading US electrical distributors. For example, nVent offers almost more than 4 times the number of enclosures on Graybar's (a large electric distributor) website versus the next-highest brand.

The systems protection segment's moat is primarily supported by switching costs. Enclosures often protect critical components but account for a small percentage of the total value of the end product. A typical enclosure may cost $500-$1,000, but the components within the enclosure may be worth many multiples of that. In addition, there are often technical specifications required, given the electronic components inside. Enclosures' narrow moat is further supported by intangible assets, including relationships with top distributors, brand recognition (associated with its Hoffman brand), and a degree of customization depending on the use case.

In addition to standard enclosures, nVent's enclosures business includes products for data centers, such as its liquid cooling offerings. These offerings are fast-growing, but we don't believe they support a moat at this stage. The market for data center cooling infrastructure is in the early stages and still rapidly evolving.

While nVent has a first-mover advantage in this area, there remains considerable uncertainty related to the competitive landscape and which technology will be preferred long-term. Revenue associated with these offerings accounts for less than 20% of segment revenue, resulting in a limited impact on our segment moat rating overall. In addition, many of these sales are direct to the customer, which often places a greater emphasis on price than sales through distributors.

NVent's electrical connections segment warrants a narrow moat rating, supported by switching costs and intangible assets. Similar to enclosures, the electrical and fastening market contains many niche markets. We believe nVent has the leading market share in the US. Some of the company's products compete with offerings from other industrial electrical equipment companies, such as Eaton's B-Line

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offerings.

Similar to enclosures, nVent's fastener portfolio consists of products that are mission-critical but typically a small percentage of the overall project cost. For example, its standard J-hook from its Caddy portfolio typically sells for less than $5, limiting customers' inclination to switch. Similar to its systems protection segment, much of electrical connections' sales are through distributors, with the end customer being an electrical contractor.

We think the electrical connections segment, and specifically its Caddy line of products, benefits from a strong brand with end contractors. Contractors are price-agnostic toward fastening solutions, given the small share of total project cost. Much of nVent's fastener portfolio focuses on ease of installation, which we believe is a bigger factor for contractors than price.

Fair Value and Profit Drivers Joshua Aguilar, Director, 3 May 2026

We raise our fair value estimate for nVent to $124 from $104 previously. We're now modeling 28% sales growth in 2026. Long-term, we've now modeled a near-14 % organic revenue CAGR with a mid-20s incremental margin entitlement. Even so, we remain low relative to analyst price targets. Like much of the industrial supply chain tied to data centers, we think nVent is priced high relative to fundamentals.

The two largest valuation drivers for nVent are revenue growth and operating profit margins for the two segments. We expect compound annual revenue growth of nearly 14% over our five-year forecast period. We expect the strongest growth in the systems protection segment, with slower growth in the electrical connections segment.

We forecast modest margin improvements following significant margin expansion in 2023. We expect electrical connections to remain the segment with the highest margin, reaching 31% at our midcycle assumption.

We expect modest margin improvement in systems protection, with segment margins rising to above 22% by 2028. We anticipate segment income margin of approximately 22% in 2028, about even with 2023. We expect favorable productivity dynamics as well as additional operating leverage to account for the margin expansion.

Risk and Uncertainty Joshua Aguilar, Director, 3 May 2026

We assign nVent a High Morningstar Uncertainty Rating.

NVent faces risks associated with general weakness in end-market demand. Many of the company's end markets, including commercial and industrial, are exposed to nonresidential construction spending. Thus, any slowdown in end markets, such as during a recession, represents a key risk. Weak end markets could result in a more competitive environment and lower profit margins for nVent.

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In addition, nVent's data center products carry elevated risks relative to its broader portfolio, in our view. These include general uncertainties associated with data center spending as well as customer concentration risk.

The company's acquisitive nature carries risks, such as poorly timed deals or strategic rationale failing to come to fruition.

NVent faces modest environmental, social, and governance risks. A major product defect could result in a recall, which could hurt nVent's sales and margins. It could also diminish the company's reputation as a trustworthy electrical box, fastener, or cable management source. Because many of nVent's products are mission-critical and often built into a given system, having to address a recalled item could involve not just removing that one nVent product but having to work around other sensitive materials.

Capital Allocation Joshua Aguilar, Director, 3 May 2026

We assign nVent a Standard Morningstar Capital Allocation Rating based on its balance-sheet strength, investment and acquisition record, and shareholder distributions.

NVent boasts a sound balance sheet with an investment-grade rating. Its leverage was below its long-term target range of 2-2.5 times as of end-2025. We think this target range is reasonable, given nVent's strong free cash flow profile. Free cash flow typically averages 100% of adjusted net income in most years. The majority of debt is fixed-rate, with the next maturity not until 2028.

We view nVent's investment approach as fair. Since nVent was spun off from Pentair in 2018, its management has pursued aggressive growth as it seeks to reposition the company in higher-growth end markets. This has largely been accomplished via acquisition. To date, acquisitions have performed broadly in line with the company's expectations, but a longer track record will be a better judge of management's investment choices. Management must balance acquisitions of businesses in higher-growth end markets without diluting the company's competitive advantages and high profit margins. We expect organic growth investments to be fairly modest at 2% of sales. Expanding capacity in high-growth verticals, such as its liquid cooling for data centers, is a primary organic investment opportunity.

Return of cash to shareholders is a key part of nVent's capital allocation strategy. NVent has paid a dividend each year since its spinoff, with its payout ratio typically less than 30% of adjusted net income. The firm has repurchased shares, but we expect this to be less of a focus moving forward as it prioritizes inorganic investment.

NVent CEO Beth Wozniak took over following the company's spinoff in 2018, after joining Pentair in 2015. Before Pentair, Wozniak spent over two decades in various leadership positions at Honeywell and its predecessor, AlliedSignal. Gary Corona assumed the CFO role in 2025. Before joining nVent, he served in senior financial roles with Medtronic and General Mills.

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Analyst Notes Archive

nVent: Impressive 2028 Organic Growth Targets Driven by Data Centers Brett Castelli,Senior Equity Analyst,19 Mar 2026

On March 18, nVent held an investor day and released 2028 financial targets. Medium-term targets include organic sales growth of 10%-13%, adjusted operating margins of 22%, and an EPS CAGR of 17%-20%.Why it matters: The biggest upside surprise from the event, in our view, was organic growth revenue guidance, which surpassed our expectations of high single digits. nVent's top-line trajectory continues to be driven by high growth in its infrastructure vertical—particularly its data center offerings—followed by more modest growth within its industrial and commercial offerings. Operating margin improvement was in line with our expectations, with mid-20% incremental margins baked into the plan. Key opportunities include operating leverage on growth and improved productivity with recent acquisitions, which were generally below nVent's core margins.The bottom line: We are increasing our fair value estimate for narrow-moat nVent to $104 from $95. The primary reason for our increased valuation is higher long-term sales growth driven by its infrastructure vertical. Nonetheless, we view shares as slightly overvalued. We believe nVent has strong visibility into its financial targets through 2028, with the key question now pertaining to the growth trajectory beyond 2028, given the vast range of outcomes for data center spend and a fast-moving competitive landscape.Big picture: nVent's portfolio transformation has been nothing short of remarkable since its spinoff from Pentair. The high-growth infrastructure vertical has risen to 45% of sales, compared with 12% in 2017. The transformation has largely been accomplished via acquisition, but we don't get the sense that management plans to slow down on this front.

NVent Earnings: 2026 Is Poised to Be Another Year of Strong Organic Growth Brett Castelli,Senior Equity Analyst,9 Feb 2026

NVent reported fourth-quarter sales up 24% organically to $1.1 billion and EPS of $0.90. The firm's 2026 guidance expects sales growth of 12% organically and EPS growth of 22%.Why it matters: 2026 organic sales growth guidance slightly surpassed our 10% assumption, while modest operating margin expansion was in line with our estimate. NVent's infrastructure vertical is expected to see outsize growth in 2026. Infrastructure is projected to grow 20% for the year, compared with low- to midsingle digits for the remainder of its portfolio. 2026 is expected to see modest operating margin expansion, in the range of 20 basis points to 50 basis points year on year. This follows a challenging 2025 for margins, which declined 150 basis points year on year due to inflationary headwinds that were not offset by price increases.The bottom line: We are raising our fair value estimate for narrow-moat nVent to $95 from $85. The primary driver of our increased valuation is higher long-term sales growth driven by its infrastructure vertical. Despite our fair value estimate increase, we believe the market is even more optimistic on nVent's outlook, particularly its presence in the high-growth liquid cooling market. NVent

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benefits from a first-mover advantage in liquid cooling, but we expect rising competition in the years to come. Thus, we view shares as overvalued.Big picture: NVent's portfolio transformation took another step forward in 2025. The high-growth infrastructure vertical accounted for 45% of sales for the year, compared with 12% in 2017. Data solutions comprised roughly 25% of total sales, with liquid cooling specifically accounting for 10%-12% based on our estimates.

nVent: Key Takeaways From SuperCompute Conference Brett Castelli,Senior Equity Analyst,19 Nov 2025

This week, we attended SuperCompute in St. Louis. The conference and trade show offered a chance to see the latest in power and cooling technology relating to AI data centers. Why it matters: nVent's data center power and cooling solutions account for over 10% of sales in 2025 and represent the fastest growth in its portfolio. We leave the conference with a similar takeaway from last year – the demand environment remains robust, with all participants we spoke with citing a strong order outlook. However, the competitive landscape for liquid cooling is equally robust – with many credible, established companies looking to capitalize on the growth opportunity. While conversations at booths centered on differentiated specifications between vendors, we struggle to ascertain material competitive differentiation given rapid product development cycles (new generations typically every 18 months). The bottom line: We are maintaining our $85 fair value estimate for narrow moat nVent. We view nVent as a leader in liquid cooling. The firm benefits from a first-mover advantage and a primary supply relationship with at least one hyperscaler for liquid cooling. However, we expect supply and demand in liquid cooling to come more into balance in the years ahead as existing and new entrants add manufacturing capacity. Thus, we view nVent shares as overvalued.

NVent Earnings: Data Centers Drive Outsize Order Growth Yet Again; Raising Fair Value Estimate Brett Castelli,Senior Equity Analyst,3 Nov 2025

NVent reported third-quarter sales of $1.1 billion, up 16% organically, and earnings per share of $0.91. It updated its full-year sales growth guidance to 27%-28% from 25% and raised EPS guidance by 2%.Why it matters: NVent's results and raised guidance reflect continued strength in its data center offerings as well as outperformance from recent acquisitions. Even more impressive was growth in organic orders, which were up an astounding 65% year on year. We estimate orders in the data center vertical were up nearly 300% year on year, driven by growth in its liquid cooling offering. Orders for the remainder of the portfolio were up high single digits year on year. NVent announced a doubling of its liquid cooling capacity in September. Given continued order strength in this product category, further expansion could be needed.The bottom line: We are increasing our fair value estimate for narrow-moat nVent to $85 per share from $74. The primary driver of the increase is higher long-term sales growth driven by the data solutions and power utilities verticals. Despite this increase, we view the shares as overvalued, as we believe the market is even more optimistic on nVent's data solutions outlook. We are changing

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nVent Electric PLC NVT ★★ 3 May 2026 23:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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our Uncertainty Rating to High from Medium to reflect nVent's increasing exposure to data centers as well as liquid cooling customer concentration.Between the lines: NVent's liquid cooling order growth in recent quarters has been nothing short of astounding. However, this is largely driven by hyperscaler customer concentration, which can cause wide swings in order activity. We are looking forward to the year-end launch of its modular platform of liquid cooling solutions designed for colocation and enterprise customers. These products are expected to largely be sold through nVent's traditional distribution partners, which typically carry higher margins in comparison with its direct sales.

NVent Earnings: Robust Orders and Guidance Raise Highlight Strong Results Brett Castelli,Senior Equity Analyst,4 Aug 2025

NVent, a global provider of electrical connection and protection solutions, reported second-quarter sales up 9% organically to $963 million and earnings per share of $0.86. Full-year sales growth guidance was updated to 25% from 20% previously, and EPS guidance was raised 6%.Why it matters: Organic sales growth for the year increased to 9% from 6%, headlined by continued growth in data solutions. Order growth was even more impressive, with organic orders up 20% year on year, including nearly 70% in data solutions as demand from AI hyperscalers remains robust. In addition, nVent's two most recent acquisitions—Trachte and Avail Electrical Products—are outperforming expectations thanks to data solutions and power utilities demand.The bottom line: We are increasing our fair value estimate for narrow-moat nVent to $74 from $62. The primary driver of our increased valuation is higher medium and long-term sales growth driven by its data solutions and power utilities verticals. Despite our fair value estimate increase due to stronger-than-expected data solutions demand, we believe the market is even more optimistic on nVent's data solutions outlook. Hence, we view shares as overvalued.Big picture: NVent's portfolio transformation continues in 2025 with the closing of its thermal management divestiture in January, coupled with the closing of the Avail Electrical Products acquisition on May 1. The overarching strategy has been to reposition the company toward higher-growth end markets. Infrastructure, including data solutions and power utilities, is expected to represent greater than 40% of 2025 sales compared with 12% in 2017.

NVent Earnings: Maintaining Our $62 Fair Value Estimate in Light of Tariff and Acquisition Impacts Brett Castelli,Senior Equity Analyst,2 May 2025

NVent reported first-quarter sales growth of 2% organically and adjusted EPS of $0.67. Full-year sales growth and EPS guidance was increased to account for the recent Avail Electrical Products Group acquisition, while organic sales growth was bumped to 6% from 5%.Why it matters: The organic sales growth increase is driven by price increases as the firm looks to offset tariff impacts, partially offset by expected lower volumes given macro uncertainty.NVent is facing approximately $120 million of tariff-related costs, which it expects to offset via pricing and productivity-related initiatives. We estimate that a combination of growth investments, inflation impacts, and comparably lower-margin

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acquisitions is expected to decrease segment operating income margins by over 100 basis points in 2025.The bottom line: We are maintaining our $62 fair value estimate for narrow-moat nVent after incorporating tariff and acquisition impacts into our model. We view shares as fairly valued.NVent shares are likely to remain intertwined with the data center theme in the months ahead, given this represents its highest-growth end market. We estimate that data solutions saw approximately 50% order growth in the first quarter compared with midsingle digits for the rest of the firm.Big picture: NVent's portfolio transformation has continued in 2025 with the closing of its thermal management divestiture in January coupled with the closing of the Avail acquisition on May 1.The overarching strategy has been to reposition the company toward higher-growth end markets. Infrastructure, including data solutions and power utilities, is expected to represent greater than 40% of 2025 sales compared with 12% in 2017.

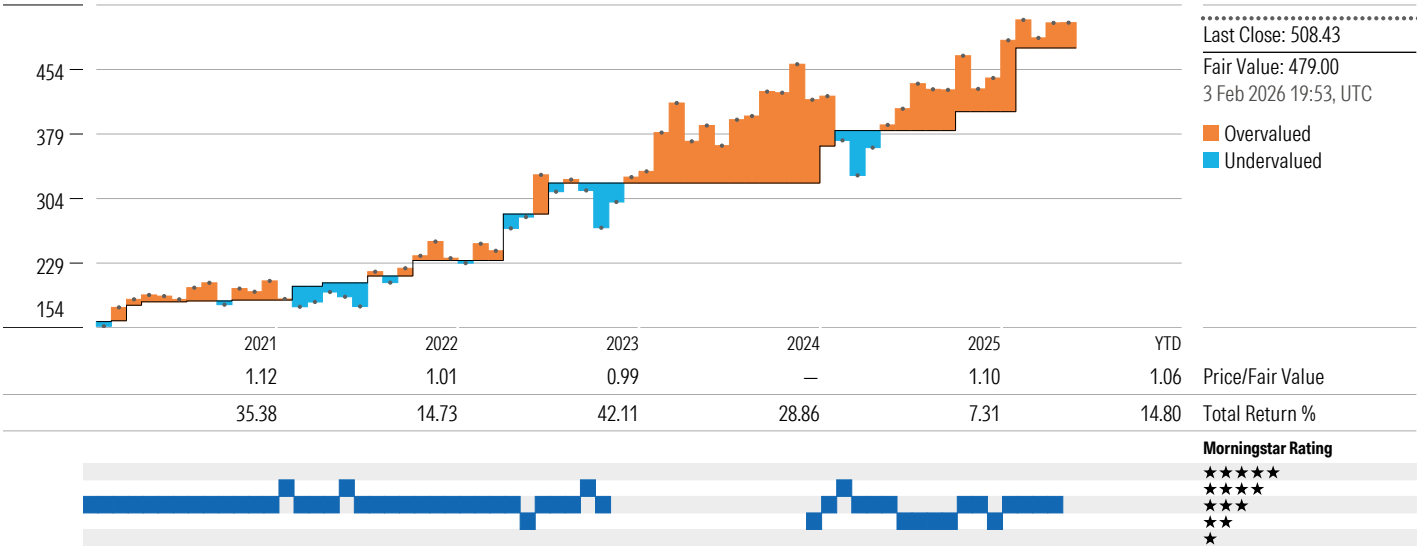
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Competitors Price vs. Fair Value

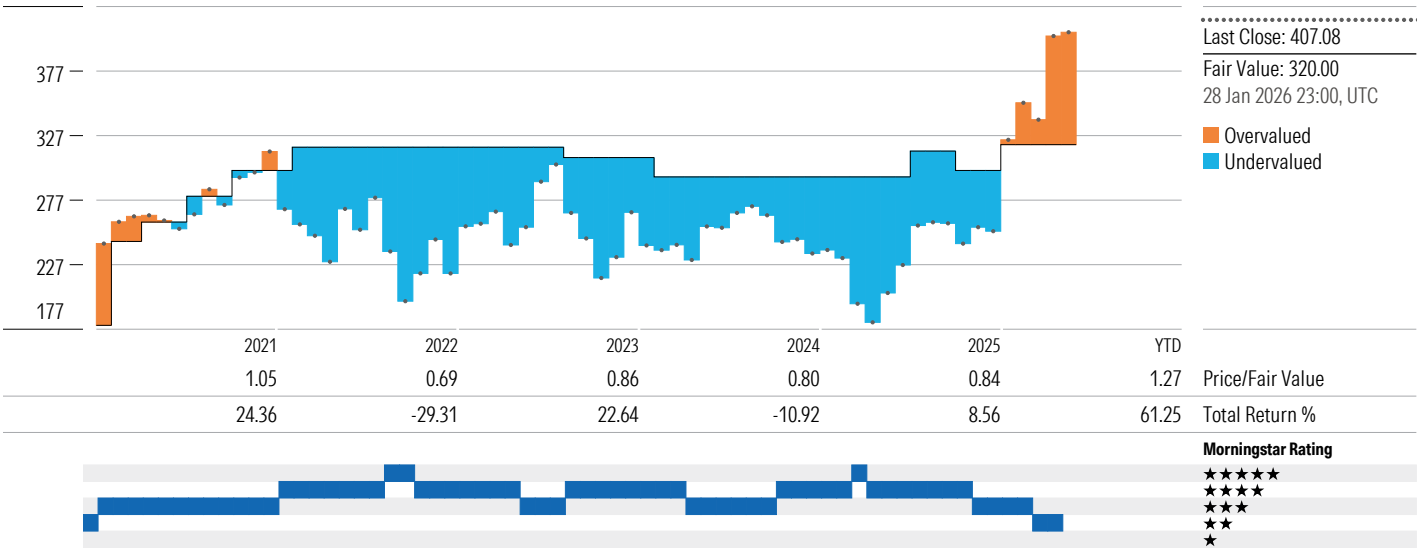
Hubbell Inc HUBB



	2021	2022	2023	2024	2025	YTD	
	1.12	1.01	0.99	—	1.10	1.06	Price/Fair Value
	35.38	14.73	42.11	28.86	7.31	14.80	Total Return %

Total Return % as of 01 May 2026. Last Close as of 01 May 2026. Fair Value as of 3 Feb 2026 19:53, UTC.

Littelfuse Inc LFUS



	2021	2022	2023	2024	2025	YTD	
	1.05	0.69	0.86	0.80	0.84	1.27	Price/Fair Value
	24.36	-29.31	22.64	-10.92	8.56	61.25	Total Return %

Total Return % as of 01 May 2026. Last Close as of 01 May 2026. Fair Value as of 28 Jan 2026 23:00, UTC.

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Morningstar Valuation Model Summary

Financials as of 01 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	3,264	3,006	3,893	4,983	5,649	6,299	6,899	7,391
Operating Income (USD Mil)	631	549	639	870	1,063	1,257	1,402	1,528
EBITDA (USD Mil)	729	673	825	1,109	1,290	1,482	1,637	1,771
Adjusted EBITDA (USD Mil)	772	695	847	1,109	1,290	1,482	1,637	1,771
Net Income (USD Mil)	567	241	429	626	775	926	1,039	1,137
Adjusted Net Income (USD Mil)	515	419	551	747	877	1,017	1,131	1,229
Free Cash Flow To The Firm (USD Mil)	-757	304	-486	606	784	922	1,039	1,155
Weighted Average Diluted Shares Outstanding (Mil)	168	168	165	164	164	164	164	164
Earnings Per Share (Diluted) (USD)	3.37	1.43	2.60	3.82	4.72	5.64	6.34	6.93
Adjusted Earnings Per Share (Diluted) (USD)	3.06	2.49	3.35	4.55	5.35	6.20	6.90	7.49
Dividends Per Share (USD)	0.70	0.70	0.80	0.84	0.88	0.93	0.97	1.02

Margins & Returns as of 01 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	17.1	19.3	18.3	16.4	17.5	18.8	20.0	20.3	20.7	19.5
EBITDA Margin %	—	22.3	22.4	21.2	22.3	22.8	23.5	23.7	24.0	—
Adjusted EBITDA Margin %	—	23.7	23.1	21.7	22.3	22.8	23.5	23.7	24.0	23.3
Net Margin %	12.1	17.4	8.0	11.0	12.6	13.7	14.7	15.1	15.4	14.3
Adjusted Net Margin %	14.6	15.8	13.9	14.1	15.0	15.5	16.2	16.4	16.6	15.9
Free Cash Flow To The Firm Margin %	-8.5	-23.2	10.1	-12.5	12.2	13.9	14.6	15.1	15.6	14.3

Growth & Ratios as of 01 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	10.2	12.2	-7.9	29.5	28.0	13.4	11.5	9.5	7.1	13.7
Operating Income Growth %	12.1	39.3	-13.1	16.4	36.2	22.2	18.2	11.6	9.0	19.1
EBITDA Growth %	15.4	31.4	-7.6	22.5	34.5	16.4	14.8	10.5	8.2	16.9
Adjusted EBITDA Growth %	14.3	36.2	-10.1	21.9	31.0	16.4	14.8	10.5	8.2	15.9
Earnings Per Share Growth %	3.1	41.9	-57.5	81.8	46.7	23.7	19.5	12.3	9.4	21.6
Adjusted Earnings Per Share Growth %	3.1	27.6	-18.7	34.5	36.0	17.5	16.1	11.1	8.7	21.6

Valuation as of 01 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	19.3	27.4	30.4	34.9	29.7	25.6	23.0	21.2
Price/Sales	3.0	3.7	4.2	5.2	4.5	4.1	3.7	3.5
Price/Book	3.2	3.5	4.5	6.2	5.4	4.6	4.0	3.5
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	15.1	19.4	21.4	24.5	21.1	18.4	16.6	15.4
EV/EBIT	18.5	24.6	28.3	31.3	25.6	21.6	19.4	17.8
Dividend Yield %	1.2	1.0	0.8	0.5	0.5	0.6	0.6	0.6
Dividend Payout %	22.9	28.1	23.9	18.5	16.5	14.9	14.1	13.6
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 01 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	9.2	3.6	6.3	8.4	9.5	10.3	10.5	10.4
ROE %	18.1	7.4	11.5	14.9	16.0	16.5	16.0	15.2
ROIC %	10.6	8.7	10.0	12.4	14.7	16.9	18.5	19.6

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nVent Electric PLC NVT ★★ 3 May 2026 23:47, UTC

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Financial Leverage (Reporting Currency)

	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	16.1	16.8	9.3	6.8	6.3	5.8	5.3	4.9
Assets/Equity	2.0	2.1	1.8	1.8	1.7	1.6	1.5	1.5
Net Debt/EBITDA	2.3	3.2	1.8	0.8	0.2	-0.3	-0.7	-1.2
Total Debt/EBITDA	2.4	3.3	2.0	1.4	1.2	1.1	1.0	0.9
EBITDA/ Net Interest Expense	9.7	6.6	11.3	16.5	18.4	21.1	23.3	25.2

Forecast Revisions as of 3 May 2026

	2026		2027		2028	
Prior data as of 26 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	124.00	104.09	—	—	—	—
Revenue (USD Mil)	4,983	4,554	5,649	5,081	6,299	5,607
Operating Income (USD Mil)	870	783	1,063	943	1,257	1,105
EBITDA (USD Mil)	1,109	1,014	1,290	1,160	1,482	1,319
Net Income (USD Mil)	747	676	877	783	1,017	899
Earnings Per Share (Diluted) (USD)	3.82	3.39	4.72	4.15	5.64	4.92
Adjusted Earnings Per Share (Diluted) (USD)	4.55	4.12	5.35	4.77	6.20	5.48
Dividends Per Share (USD)	0.84	0.84	0.88	0.88	0.93	0.93

Key Valuation Drivers as of 01 May 2026

Cost of Equity %	9.5
Pre-Tax Cost of Debt %	5.1
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	9.5
Stage II Investment Rate %	27.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 01 May 2026

	USD Mil
Present Value Stage I	3,428
Present Value Stage II	6,457
Present Value Stage III	11,218
Total Firm Value	**21,103**
Cash and Equivalents	238
Debt	1,560
Other Adjustments	0
Equity Value	**19,781**
Projected Diluted Shares	164
Fair Value per Share (USD)	**124.00**

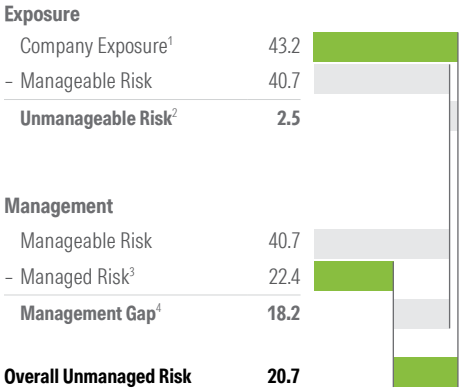
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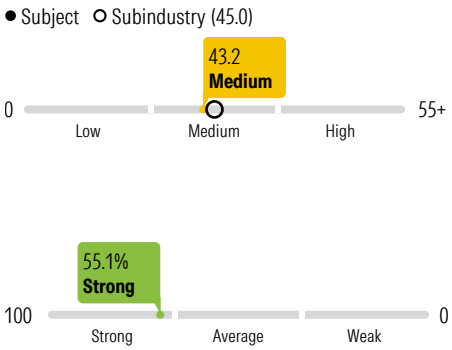
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ESG Risk Rating Breakdown

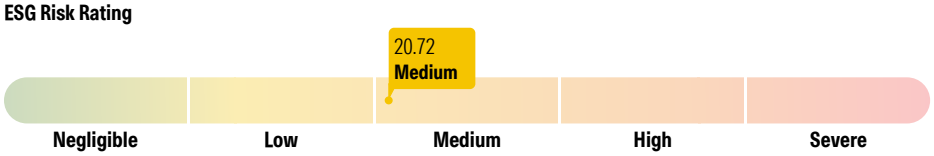




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 01, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Electrical Equipment. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 55.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 01 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
nVent Electric PLC	43.2 | Medium	0	55+	55.1 | Strong	100	0	20.7 | Medium	0	40+
Littelfuse Inc	37.1 | Medium	0	55+	54.2 | Strong	100	0	18.5 | Low	0	40+
Hubbell Inc	42.7 | Medium	0	55+	63.2 | Strong	100	0	17.3 | Low	0	40+
SSE PLC	67.2 | High	0	55+	75.8 | Strong	100	0	20.2 | Medium	0	40+
Guangxi Guiguan Electric Power Co Ltd	49.2 | Medium	0	55+	19.1 | Weak	100	0	40.4 | Severe	0	40+

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Appendix

Historical Morningstar Rating

nVent Electric PLC NVT 1 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★★	★★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★	★★	★★	★★	★★	★★★	★★★★	★★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Hubbell Inc HUBB 1 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

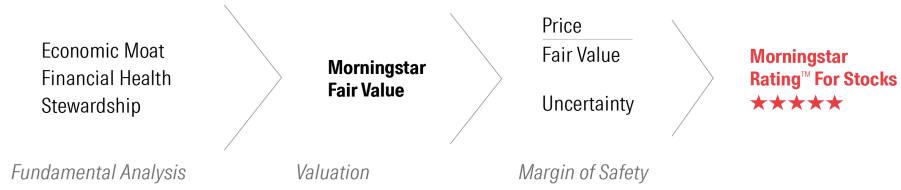
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

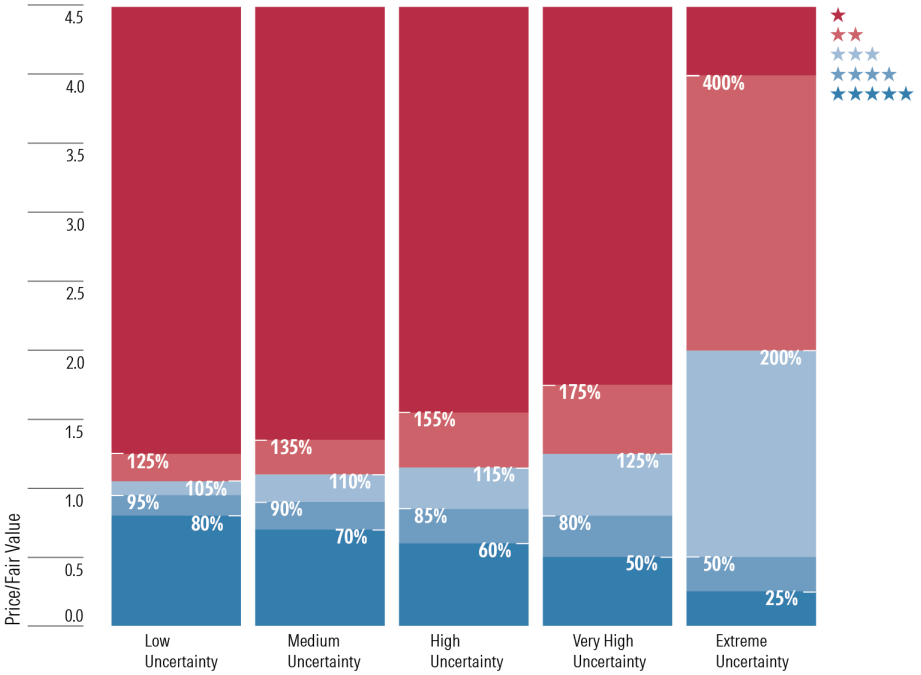
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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